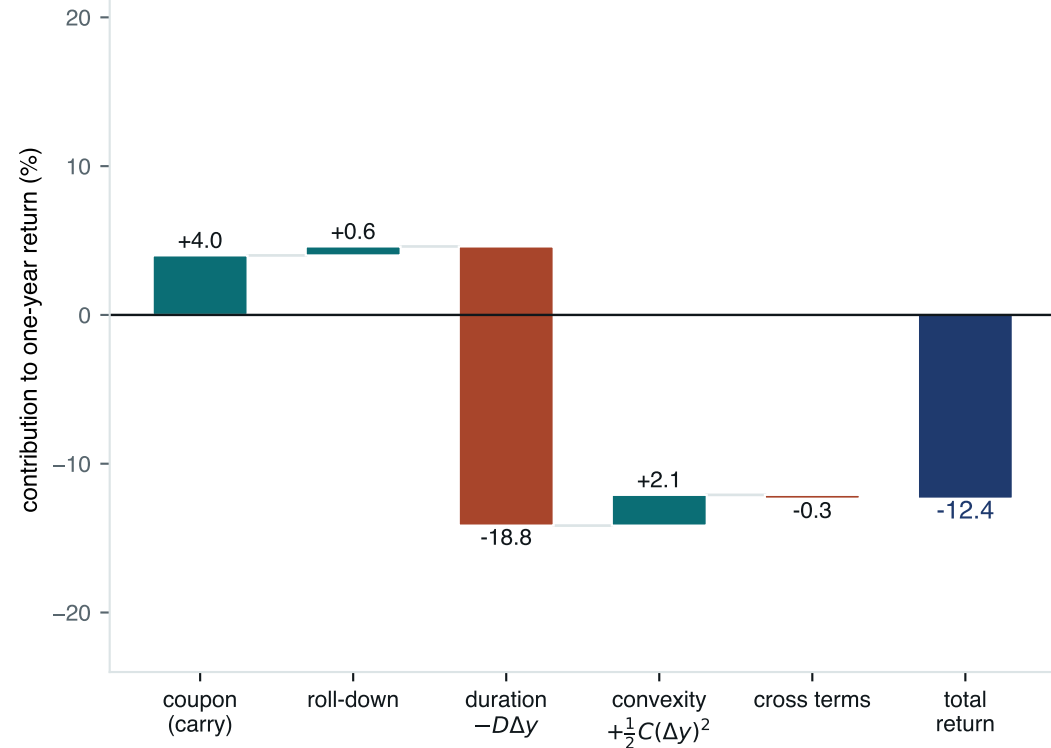
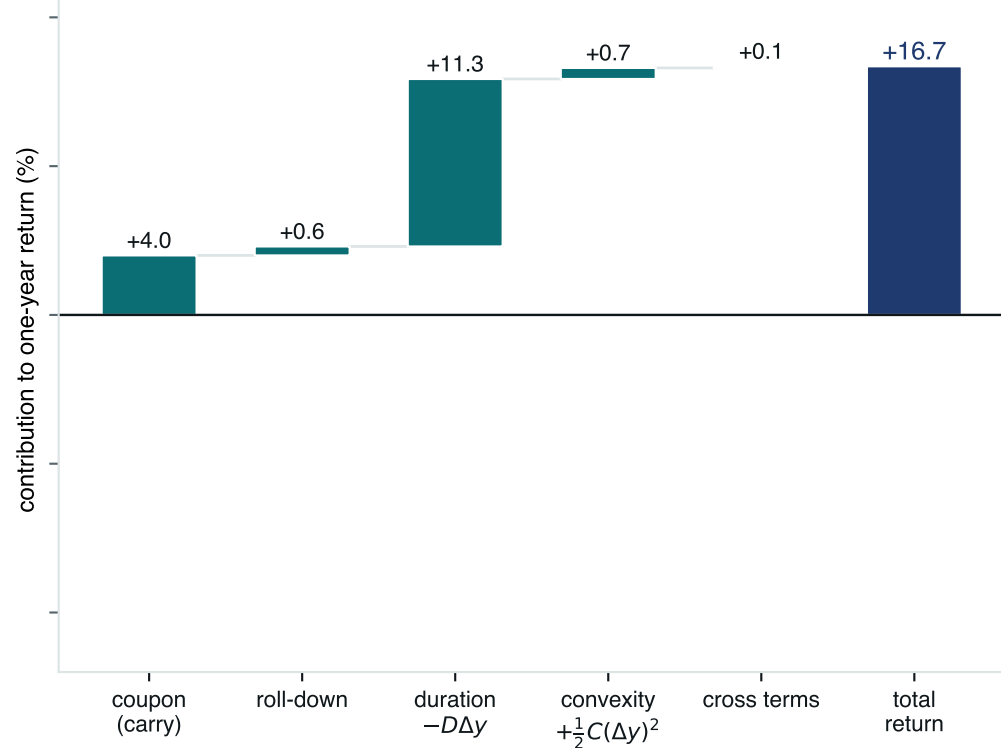


Yields rise 250bp



Yields fall 150bp



A 10-year 4% bond bought at par, held one year, on a curve 8bp steeper between 9 and 10 years. The first two bars are known the day you buy; the third is the entire bet; the fourth is the consolation prize that makes the loss smaller than the gain.